"The budget is full of possibilities for more infrastructure, more investment, higher growth and more jobs," Prime Minister Narendra Modi said on February 2. Over the years, the Modi government has been increasingly banking on infrastructure creation to pull the economy out of the slowdown. Budget 2022-23 comes on the back of four years of high infra outlays—Rs 3.36 lakh crore in FY2020, Rs 4.39 lakh crore in FY2021, Rs 5.54 lakh crore in FY2022, and now Rs 7.5 lakh crore in FY2023. In 2019, the government had launched the ambitious Rs 102 lakh crore National Infrastructure Pipeline (NIP).

At a time when two key drivers of economic growth—consumption demand and private investment—had considerably slowed down because of the pandemic, the Centre aims to ignite the supply side triggers of the economy. This, Sitharaman believes, will create enough avenues for growth in the medium to long term, which, by her calculation, would pave the way to more jobs that can drive consumer spending and demand. "The overarching theme of the budget is restoration of growth and creating gainful employment," T.V. Somanathan, finance secretary, told INDIA TODAY. "We believe employment will be created through growth and not through palliatives. Growth is the best creator of employment and to do that, we have gone for a big increase in capex, which is acknowledged to have a high multiplier effect on the economy." Therefore, he added, the limited resources at the government's disposal were deployed in that direction.

THE SEVEN GROWTH ENGINES

The instrument that the Centre plans to use to channelise this huge increase in government spend is 'PM GatiShakti', which takes a transformative approach to economic growth. The scope of the PM GatiShakti National Master Plan will encompass the seven engines for economic transformation, seamless multimodal connectivity and logistics efficiency. It will also include the infrastructure developed by the state governments, as per the GatiShakti Master Plan.

The touchstone of the Master Plan will be world-class modern infrastructure and logistics synergy among different modes of movement—both of people and goods—and location of projects. "In a condition of depressed demand, policymakers and economists have two choices. One, to let demand revive by putting money in the hands of people. The other route is through massive public works," says Vinayak Chatterjee, infrastructure expert and chairman of CII's National Council on Infrastructure. "India has made a clear choice of nurturing growth through public investment."

Economists and industrialists say that the capex proposals, which are largely in infrastructure, have a higher employment elasticity and a large multiplier impact on private consumption.



"PUBLIC INVESTMENT MUST CONTINUE TO TAKE THE LEAD AND PUMP PRIME PRIVATE INVESTMENT AND DEMAND IN 2022-23"

– NIRMALA SITHARAMAN

Union Finance Minister

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